

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**Docket No. 14-06**

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**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ  
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and  
SYLVIA ROBLEDO d/b/a 81<sup>st</sup> DOLPHIN PARKING**

**Complainants**

**v.**

**THE BOARD OF TRUSTEES OF THE GALVESTON  
WHARVES and THE GALVESTON PORT FACILITIES  
CORPORATION**

**Respondents**

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**COMPLAINANT 81<sup>ST</sup> DOLPHIN'S BRIEF ON  
LIMITED REPARATIONS ISSUE ON REMAND**

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September 30, 2022

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## **INTRODUCTION**

Complainant Sylvia Robledo d/b/a 81<sup>st</sup> Dolphin Parking (“81<sup>st</sup> Dolphin” or “Complainant”), hereby submits this Complainant 81<sup>st</sup> Dolphin’s Brief on Limited Reparations Issue on Remand pursuant to the Administrative Law Judge’s (“ALJ”) August 30, 2022 Remand Reconsideration Scheduling Order (“RRSO”).

On April 16, 2021, the Federal Maritime Commission (“FMC” or “Commission”) issued its Order on Initial Decision on Remand (“OIDR”) in this matter. Among other findings therein, the Commission determined that Complainants EZ Cruise and 81<sup>st</sup> Dolphin satisfied their burden of proving that Respondent The Board of Trustees of the Galveston Wharves (the “Wharves Board” or the singular “Respondent”) violated 46 U.S.C. § 41106(2) (the “Shipping Act”), and that Complainants were injured by the two proven violations of the Shipping Act.<sup>1</sup> (OIDR at 14, 27, 33-34, 38-40). The Commission further found that Complainants are entitled to reparations resulting from Respondent’s two separate violations of the Shipping Act for the period encompassing June 16, 2011 through July 31, 2014. (OIDR at 38-40).

The Commission concluded the OIDR by remanding this case to the ALJ for the limited purpose of determining “an appropriate reparations award for the period of June 16, 2011 through July 31, 2014 for EZ Cruise and 81<sup>st</sup> Dolphin.” (OIDR at 39). Determining that the record of this case has information identifying the Access Fees<sup>2</sup> paid by EZ Cruise and 81<sup>st</sup> Dolphin for all months of the reparations period except for July 2014, the Commission ordered that on remand,

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<sup>1</sup> As noted in the OIDR, Complainant Lighthouse did not join the Complainants’ appeal to the D.C. Circuit of the ALJ’s December 4, 2015 Initial Decision, and so that decision was final as to Lighthouse. (OIDR at 11-12, 37-38). As also recaptured in the OIDR, the ALJ dismissed Respondent Galveston Port Facilities Corporation in the November 16, 2018 Initial Decision on Remand, which was unchallenged by the parties. (OIDR at 14).

<sup>2</sup> “Access Fees” refer to the charges to be paid by ground transportation companies for access to the Cruise Terminal, and are in addition to “Port Use Permit” fees and “Decal Fees.” (See Comp. App. 001 and 002). During the relevant time period, Complainant 81<sup>st</sup> Dolphin was charged Access Fees based upon the number of parking spaces maintained in its parking lot(s), while other ground transportation companies who were charged Access Fees, were charged per trip/access to the Cruise Terminal. (See Comp. App. 001 and 002).

EZ Cruise and 81<sup>st</sup> Dolphin would have the opportunity to prove the amount of such payments made during that month. (OIDR at 39-40). Complainant herein identifies that the record does contain information identifying the Access Fees paid by 81<sup>st</sup> Dolphin for all months of the reparations period, including July 2014. (See Comp. App. 004—008; Comp. App. 016—018).

On April 20, 2021, the ALJ issued an Order Requiring Joint Status Report to establish a briefing schedule for the parties on the narrow issue of reparations set forth in the OIDR. The parties complied with the briefing schedule set by the ALJ, and on June 29, 2021, Complainants filed their Brief on Limited Reparations Issue on Remand, followed the next day by their amended brief.<sup>3</sup> Thereafter, on July 30, 2021, Respondent filed its Response to Complainants' Amended Brief on Limited Issue on Remand.<sup>4</sup> The issues forming the subject matter of those briefs were never reached by the ALJ because on May 17, 2021, Respondent filed its Verified Petition for Reconsideration and Unopposed Motion for Stay of Proceedings ("Petition for Reconsideration"), asking the Commission to reconsider its April 16, 2021 OIDR on several grounds and requesting relief.

Prior to the Commission issuing its decision on Respondent's Petition for Reconsideration, on September 10, 2021, the Commission approved a partial settlement which resolved the dispute between Respondent and Complainants EZ Cruise Parking and Lighthouse Parking, leaving Complainant 81<sup>st</sup> Dolphin as the only remaining Complainant in this proceeding.

Thereafter, on June 2, 2022, the Commission issued its Order Granting in Part and Denying in Part Petition for Reconsideration ("Commission Remand Reconsideration Order" or "CRRO").

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<sup>3</sup> Complainants' Amended Brief on Limited Reparations Issue on Remand (June 30, 2021) is hereafter sometimes abbreviated "Comp. Am. Br. on Reparations on Remand."

<sup>4</sup> Respondent The Board of Trustees of the Galveston Wharves' Response to Complainants' Amended Brief on Limited Reparations Issue on Remand (July 30, 2021) is hereafter sometimes abbreviated "Resp. Br. in Resp. to Comp. Am. Br. on Reparations Remand."

In that Order, the Commission “amend[ed] the April 2021 Order to allow the parties on remand to submit argument on the correct end-date for calculating reparations on the selective enforcement claim” and permitted briefing on the proper method for calculating reparations. (CRRO at 14 and 19).

### **PROPOSED FINDINGS OF FACT**

In accordance with the Honorable ALJ’s August 30, 2022 Remand Reconsideration Scheduling Order, Complainant 81<sup>st</sup> Dolphin hereby includes and sets forth its proposed findings of fact pursuant to 46 C.F.R. 502.214.

1. The selective enforcement relevant to Respondent Wharves Board’s violations of the Shipping Act began in September 2008 and continued through August 2014. (Resp. Corr. Br. (June 15, 2015)<sup>5</sup> at 21, fn.5 and 23, fn.6; Comp. App. 003 at 000016 - 019<sup>6</sup> (Murchison Affidavit), ¶¶ 13, 23, 26-27; Resp. Corr. PFF<sup>7</sup> 99-100).
2. For the month of June 2011, Complainant 81<sup>st</sup> Dolphin paid \$400.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000109, 000123; Comp. App. 005 at 000168).
3. For the months of June 2011 through June 2014, Complainant 81<sup>st</sup> Dolphin paid a total of \$17,008.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000109 – 113, 000123 – 159; Comp. App. 005 at 000168 – 169; Comp. App. 006; Comp. App. 007; Comp. App. 008 at 000177 – 179).

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<sup>5</sup> Resp. Corr. Br. (June 15, 2015) refers to the Corrected Brief of Respondents The Galveston Wharves and The Galveston Port Facilities Corporation, filed on June 15, 2015.

<sup>6</sup> Reference to Complainant’s Remand Reconsideration Appendix shall be denoted by “Comp. App.” followed by the appendix number. All Bates numbers referenced herein shall direct to new sequential Bates numbers designated in the appendix as “CX/R” followed by a six-digit number and positioned at the bottom-center of each page of the appendix.

<sup>7</sup> Resp. Corr. PFF refers to Respondent’s Corrected Proposed Findings of Fact, filed on June 15, 2015.

4. For the month of July 2014, Complainant 81<sup>st</sup> Dolphin paid a total of \$768.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000111, 000113, and 000160).
5. Respondent Wharves Board has been authorized by the City of Galveston to manage and control the Port of Galveston's wharf and terminal facilities. (Comp. App. 009 at 000181 (GALVESTON, TEX., CHARTER, art. XII, §§ 1-2) (designating Galveston Wharves as a "separate utility" of the City of Galveston to be managed by the Board of Trustees of the Galveston Wharves)).
6. The City of Galveston is a municipality that owns and operates a port, and therefore, the State has accorded the Wharves Board with the power to "construct, acquire, lease, improve, enlarge, extend, repair, maintain, replace, develop, or operate a port improvement or facility." (Comp. App. 010 at 000186 (TEX. TRANSP. CODE § 54.003(a))).
7. In December 2007, the Wharves Board promulgated Tariff Circular No. 6, which sets forth fees the Wharves Board charges for vehicular access to Respondent's Cruise Terminal. (Comp. App. 001 at 000001 – 002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F and 3-G))).
8. The fees established by Tariff Circular No. 6 include—but are not limited to—Decal Fees and Access Fees. (Comp. App. 001 at 000001 – 002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F and 3-G))).
9. The Wharves Board charges Cruise Terminal users Access Fees for bringing their vehicles onto the Port's property. (Comp. App. 011 at 000194 (Audio Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on September 22, 2014, at 8:18-19))).

10. The access fees imposed by the Wharves Board from December 17, 2007 through June 30, 2014 were as follows: (1) Bus, commercial passenger vehicle, or courtesy vehicle with seating capacity of greater than fifteen persons: \$50.00 per Access/Trip; (2) Commercial passenger vehicle, courtesy vehicle, shuttle or limousine with seating capacity of fifteen persons or more: \$20.00 per Access/Trip; (3) Commercial passenger vehicle, courtesy vehicle, or shuttle with seating capacity of up to fourteen persons: \$10.00 per Access/Trip; (4) Limousine or taxi and taxicabs with seating capacity of nine to fourteen persons: \$10.00 per Access/Trip; (5) Limousines with seating capacity of not more than eight persons: \$0.00 per Access/Trip; and (6) Taxi and taxicabs with seating capacity of not more than eight persons: \$0.00 per Access/Trip. (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F); IDRFF 50<sup>8</sup> (Comp. App. 012 at 000219)).
11. In lieu of the Access/Trip fee, the access fees imposed by the Wharves Board from December 17, 2007 through June 30, 2014 on “Off-Port Parking Users,” including Complainant 81<sup>st</sup> Dolphin, was \$8.00 per month per parking space located in the Off-Port Parking User’s parking facility. (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F, n. D)).
12. On May 12, 2014, the Special Finance Committee for the Wharves Board deliberated upon issues relating to cruise terminal parking, and placed two items on the agenda: (1) Parking Access Fees, and (2) Amendment to the Tariff. (Comp. App. 013 at 000272 – 287 (Audio Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on 5/12/14)).

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<sup>8</sup> “IDRFF” refers to the Findings of Fact from the Initial Decision on Remand (“IDR”), which are found on pages 20 through 35 of the IDR.

13. On May 19, 2014, the Wharves Board adopted an amendment to the Tariff, which increased Access Fees charged for access to the Cruise Terminal, effective July 1, 2014. (Comp. App. 014 at 000300 – 302 (Minutes of the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves, Monday, May 19, 2014)).
14. Effective July 1, 2014, the access fees imposed by Respondent Wharves Board were as follows: (1) Charter bus owners and operators: \$60.00 Parking Fee; (2) Commercial passenger vehicle, courtesy vehicle, shuttle or limousine with seating capacity of fifteen persons or more: \$30.00 per Access/Trip; (3) Commercial Passenger Vehicle, courtesy vehicle, shuttle or limousine with seating capacity of less than fifteen persons: \$20.00 per Access/Trip; (4) Taxicabs with City of Galveston permit: \$0.00 per Access/Trip. (Comp. App. 002 at 000007 – 008 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(7th Revised Page 3-F and 3-G))).
15. In lieu of the Access/Trip fee, effective July 1, 2014, “Off-Port Parking Users,” including 81<sup>st</sup> Dolphin, were subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User’s parking facility. Comp. App. 002 at 000007 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(7<sup>th</sup> Revised Page 3-F, n. D)); *see also* Comp. App. 014 at 000300 – 302 (Minutes of the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves, Monday, May 19, 2014 at p. 14)).
16. Prior to adopting the Tariff changes that became effective on July 1, 2014, the Wharves Board conducted a study to determine what those changes should be. (Comp. App. 015 at 000344 – 346 (Depo. M. Mierzwa at 142:18 – 143:17, 145:25 – 146:13, and 151:23 – 152:2)).

17. Respondent Wharves Board consistently charged and collected the full amount of Access Fees required by the Tariff from Complainant 81<sup>st</sup> Dolphin between June 2011 and August 2014. (Comp. App. 001 at 000001 – 002; Comp. App. 002 at 000007 – 008; Comp. App. 004 at 000109 – 113, 000123 – 271; Comp. App. 005 at 000168 – 169; Comp. App. 006; Comp. App. 007; Comp. App. 008).
18. Respondent The Board of Trustees of the Galveston Wharves (the “Wharves Board”) charged Complainant 81<sup>st</sup> Dolphin \$400.00 per month for fifty parking spaces from June 2011 through December 2013. (Comp. App. 004 at 000109 – 153; Comp. App. 005; Comp. App. 006; Comp. App. 007).
19. Respondent Wharves Board charged Complainant 81<sup>st</sup> Dolphin \$768.00 per month for ninety-six parking spaces from January 2014 through July 2014. (Comp. App. 004 at 000110 – 111, 000113, 000154 – 160; Comp. App. 008).
20. Respondent Wharves Board admits that it charged certain Cruise Terminal users Access Fees less than what the Tariff required from December 17, 2007 through August 2014. (Comp. App. 003 at 000016 - 019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).
21. Respondent Wharves Board admits that it permitted limousines access to the Cruise Terminal without charging them Access Fees from September 2008 through August 2014. (Comp. App. 003 at 000016 - 019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).
22. The Wharves Board acknowledged that, as of September 22, 2014, they “still [had] enforcement issues” regarding Access Fees. (Comp. App. 011 at 000194 – 195 (Audio

Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on 9/22/14, at 8:22 – 9:10)).

23. The Tariff in effect from June 16, 2011 through June 30, 2014 required Complainant 81<sup>st</sup> Dolphin and limousines accessing the Cruise Terminal to purchase annual decals for each vehicle accessing the Cruise Terminal at a cost of \$10.00 per vehicle per year. (Comp. App. 001 at 000001 – 002; IDRFF 50).
24. Effective July 1, 2014, and extending beyond July 31, 2014, the Tariff established a variable cost for the annual decals, but still required Complainant 81<sup>st</sup> Dolphin and limousines accessing the Cruise Terminal to purchase annual decals for each vehicle accessing the Cruise Terminal. (Comp. App. 002 at 000007; IDRFF 65-66).
25. Throughout all times relevant to the reparations period (June 16, 2011 through July 31, 2014), Complainant 81<sup>st</sup> Dolphin and limousines were all charged decal fees pursuant to the governing Tariff for each vehicle accessing the Cruise Terminal. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 8).

### **ARGUMENT AND AUTHORITIES**

In accordance with the ALJ’s August 30, 2022 Remand Reconsideration Scheduling Order, Complainant 81<sup>st</sup> Dolphin submits the following brief identifying (1) the correct end-date for calculating reparations arising from Respondent’s selective enforcement of the Tariff; and (2) the established method for calculating reparations. Complainant also addresses the two sub-issues of pro-rating reparations for the month of June 2011, and the non-effect of “decal fees” on reparations in this case.

## **I. The End Date for Calculating Selective Enforcement Reparations is July 31, 2014**

As summarized above, in the Commission's April 16, 2021 Order on Initial Decision on Remand ("OIDR"), it was determined that Complainant 81<sup>st</sup> Dolphin (1) proved Respondent's two violations of the Shipping Act; (2) was injured by those two violations; and (3) was entitled to reparations resulting from those two violations. (OIDR at 14, 27, 33-34, 38-40). The Commission further determined that Complainant is entitled to reparations resulting from Respondent's two separate violations of the Shipping Act for the period encompassing June 16, 2011 through July 31, 2014, and that the measure of reparations for those two violations are the same. (OIDR at 38-40).

More specifically, for the first Shipping Act violation, arising from Respondent charging Complainant Access Fees under the Tariff<sup>9</sup> while that Tariff exempted certain limousines from being charged Access Fees, the Commission found the reparation period to encompass all dates beginning on June 16, 2011 and ending on June 30, 2014. (OIDR at 38-39). The dates assessed to this first Shipping Act violation are not subject to contraversion or briefing. (See CRRO at 19 (limiting the remaining issue on remand to determining the end date only for Respondent's "selective enforcement" violations of the Shipping Act); RRSO at 1). It is therefore settled that reparations are due to Complainant resulting from Respondent's Shipping Act violations occurring from June 16, 2011 through June 30, 2014. (OIDR at 38-39). Accordingly, the matter to be determined is whether Respondent's violations of the Shipping Act arising from selective enforcement of the Tariff (the second Shipping Act violation) extended beyond June 30, 2014, and if so, how far. (OIDR at 38-39; CRRO at 2).

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<sup>9</sup> The "Tariff" at issue refers to the Board of Trustees Of The Galveston Wharves Tariff Circular No. 6, as issued by Respondents. The revision numbers relevant to this matter are the 5th (Dec. 17, 2007 – June 30, 2014) and 7th (July 1, 2014 – Sept. 22, 2014) Revisions. (See Comp. App. 001 and 002).

As briefed extensively throughout this proceeding, Respondent’s selective enforcement violations of the Shipping Act were two-fold, arising from its admitted practice of (1) charging certain vehicles less than the amount required by the Tariff, and also (2) from permitting limousines access to Respondent’s cruise terminal (“Cruise Terminal”) without requiring from them any payment of the Access Fees established and required by the governing Tariff, while throughout that same time-period, consistently enforcing the Tariff’s full Access Fees with regard to Complainant’s access to the Cruise Terminal. (CPFF-R 17, 20, 21)<sup>10</sup> (Comp. App. 001 at 000001-002; Comp. App. 2 at 000007-008; Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Comp. App. 004 at 000109-160, 000123-271; Comp. App. 005; Comp. App. 006; Comp. App. 007; Comp. App. 008; Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13). According to Respondent, this practice of selective enforcement began in September 2008 with the landfall of Hurricane Ike, and continued through the summer of 2014, being finally stopped in August 2014. (CPFF-R 20, 21) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13). Because the only evidence in the record identifies that Respondent’s selective enforcement of the Tariff ended on an unidentified date in August 2014, Complainant concedes that it cannot establish that Respondent ceased such conduct on any particular date during that month. (CPFF-R 20, 21) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13). Accordingly, as recognized by the Commission, justice dictates the end-date of the reparations period for Respondent’s selective enforcement violation of the Shipping Act should be July 31, 2014. (CPFF-R 1) (Comp. App. 003 at 000016–019

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<sup>10</sup> Complainant’s Proposed Findings of Fact on Remand are abbreviated “CPFF-R,” followed by the number referencing the specific proposed finding(s) of fact applicable to the statement.

(Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 14).

**A. Respondent’s sporadic enforcement of the Tariff in April – July 2014 does not affect the reparations period**

In Complainant’s June 30, 2021 Amended Brief on Limited Reparations Issue on Remand, Complainant provided the same reparations calculations set forth in the following section of this brief. (See Comp. Am. Br. on Reparations on Remand at 2-4). Significantly, in Respondent’s July 30, 2021 response to Complainant’s reparations calculations, Respondent stated that it “has no alternative calculation or formulation regarding these figures.” (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 3). Instead, Respondent alleges that it did charge some limousines Access Fees beginning as early as April 2014. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 4-6). However, there is no evidence contradicting Respondent’s own sworn affidavit testimony and briefing where it unambiguously identifies for the ALJ that its selective enforcement of the Tariff continued into August 2014. (CPFF-R 20, 21) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13). Evidence indicating that Respondent charged some limousines Access Fees beginning in April 2014 does not address the other limousines it admitted to permitting free access to the Cruise Terminal through August 2014, nor does it address Respondent’s admission that it charged certain Cruise Terminal users less in Access Fees than was required by the Tariff during that same time-period. (CPFF-R 20) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).

Moreover, and importantly, Respondent’s argument regarding the end-date of its selective enforcement violation for purposes of calculating the reparations due goes only to that one particular violation of the Shipping Act, not to both of the violations which have been found. Whereas, the ALJ will recall, the reparations period for Respondent’s first violation of the Shipping Act is not subject to briefing, as that period has been conclusively established and recognized by the Commission to span from June 16, 2011 through June 30, 2014. (OIDR at 38-39; *see also* CRRO at 14, 19; ORJSR (Aug. 8, 2022)<sup>11</sup> at 2; RRSO at 1). Therefore, even if Respondent were to present new evidence showing that it completely ceased its selective enforcement of the Tariff in April 2014—no evidence of which has been presented—the calculation for reparations would still cover, at a minimum, the entire period from June 16, 2011 through June 30, 2014.

The reparations period for the first violation of the Shipping Act arising from Respondent’s preferential treatment of limousines under the Tariff spans from June 16, 2011 through June 30, 2014. (OIDR at 38-39). The reparations period for the second violation of the Shipping Act, arising from Respondent’s selective enforcement of the Tariff, encompasses the same dates as the first violation, but also extends through the end of July 2014. (CPFF-R 1, 20, 21) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13; OIDR at 39). Accordingly, the combined reparations period for Respondent’s Shipping Act violations begins on June 16, 2011 and ends on July 31, 2014.

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<sup>11</sup> ORJSR (Aug. 8, 2022) refers to the ALJ’s August 8, 2022 Order Requiring Joint Status Report (“ORJSR”).

## **II. The Parties Agree on the Established Method for Calculating Reparations**

As ordered by the Commission and the ALJ, the parties are permitted to brief the proper method for calculating the reparations arising from both of Respondent's violations of the Shipping Act occurring from June 16, 2011 through July 31, 2014. (CRRO at 14, 17, 19; ORJSR at 2, RRSO at 1). In June and July 2021, Complainant and Respondent filed briefs with the ALJ addressing their respective calculations of reparations owed to Complainant.<sup>12</sup> In those briefs, both Complainant and Respondent applied the same well-established method for calculating the reparations due—the only difference being the reparations-period dates incorporated into the calculations. (See Comp. Am. Br. on Reparations on Remand at 2-4; Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 3-6).

In this case, there are two violations of 46 U.S.C. § 41106(2) at issue. The first arises under the terms of the Tariff itself, whereby Respondent charged Complainant monthly Access Fees while certain limousines were preferentially exempted by the terms of the Tariff from being charged Access Fees. (CPFF-R 10) (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F); IDRFF 50 (Comp. App. 012 at 000219); OADR at 13-14, 22-27). The second violation arises from Respondent's disparate treatment between Complainant and other Cruise Terminal users, whereby Respondent consistently charged Complainant the full Access Fees pursuant to the Tariff, but (1) charged certain Cruise Terminal users Access Fees at an amount less than that required by the Tariff, and (2) permitted limousines access to the Cruise Terminal without charging them any amount of the Access Fees prescribed by the Tariff. (CPFF-R 17, 20, 21) (Comp. App. 001 at 000001-002; Comp. App. 2 at 000007-008; Comp. App. 003 at 000016–019 (Murchison Affidavit,

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<sup>12</sup> Complainant's Amended Brief on Limited Reparations Issue on Remand (June 30, 2021), and Respondent's Response Brief (July 30, 2021).

¶¶ 13, 23, 26-27); Comp. App. 004 at 000109-160, 000123-271; Comp. App. 005; Comp. App. 006; Comp. App. 007; Comp. App. 008; Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13; OADR at 13-14, 32-34; CRRO at 13).

The FMC has established precedent for determining reparations in circumstances such as this. In *Ceres II*, it was held that “where a party has breached a duty to apply its criteria for granting lower rates in a fair and evenhanded manner,” the proper measure of damages is “the difference between the rate that was charged and collected, and the rate that would have been charged but for the undue preference and prejudice.” *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 374 (FMC 2001) (*Ceres II*).

In the case at hand, the “rate that was charged and collected” is that which Complainant paid in Access Fees for access to Respondent’s Cruise Terminal during the defined reparations period. As affirmed by Respondent in its July 30, 2021 brief, for Complainant 81<sup>st</sup> Dolphin, that amount totals \$17,776.00 for a reparations period beginning in June 2011 and ending in July 2014. (CPFF-R 3, 4, 17) (Comp. App. 001 at 000001-002; Comp. App. 002 at 000007-008; Comp. App. 004 at 000109-113, 000123-271; Comp. App. 005 at 000168-169; Comp. App. 006; Comp. App. 007; Comp. App. 008; Comp. App. 016; Comp. App. 017; Comp. App. 018; Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 3). The “rate that would have been charged but for the undue preference and prejudice” is the amount charged to (1) the limousines that were exempted from Access Fees under the Tariff (June 16, 2011 through June 30, 2014)<sup>13</sup>; and (2) the limousines that were allowed access to the Cruise Terminal without being charged the Access Fees prescribed by the Tariff (June 16, 2011 through July 31, 2014). (CPFF-R 20, 21) (Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21,

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<sup>13</sup> (CPFF-R 10) (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F); IDRF 50 (Comp. App. 012 at 000219)).

fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13). Each of those amounts being zero (\$0.00) dollars, the difference between the “rate that would have been charged but for the undue preference and prejudice” and the “rate that was charged and collected” is the total amount paid in Access Fees by 81<sup>st</sup> Dolphin during the reparations period—\$17,776.00. (CPFF-R 3, 4) (Comp. App. 004 at 000109-113, 000123-160; Comp. App. 005 at 000168-169; Comp. App. 006; Comp. App. 007; Comp. App. 008 at 000177-179).

**A. Respondent calculates a minimum of \$14,704.00 in reparations are due**

Respondent admits that Complainant is due reparations in the amount of \$14,704.00. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 5-6). However, as briefed by Respondent, that amount only accounts for a reparations period of June 16, 2011 through March 31, 2014. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 5-6). Complainant agrees with Respondent’s method for calculating reparations, but disagrees with Respondent’s suggested end-date of March 31, 2014. As discussed above, setting aside for the moment consideration of the reparations period for Respondent’s selective enforcement violations of the Shipping Act, the Commission has established with clarity that the reparations period for Respondent’s first violation of the Shipping Act alone spans from June 16, 2011 through June 30, 2014. (OIDR at 38-39). On that point, Respondent’s calculation must be amended to include, at a minimum, reparations for the months of April, May, and June of 2014.

**B. Complainant calculates \$17,776.00 in reparations are due**

Respondent also admits in its briefing that for a reparations period spanning from June 16, 2011 through July 31, 2014, the reparations due to Complainant would be \$17,776.00. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 3-6).

As outlined above and briefed in agreement by both parties, the correct and established method used for calculating reparations for violations of the Shipping Act is the difference in the amount charged to the complainant versus the amount that would have been charged to the complainant if it had received the same preferential treatment forming the basis of the 46 U.S.C. § 41106(2) violation. (*See Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 374 (FMC 2001) (*Ceres II*); *see also* Comp. Am. Br. on Reparations on Remand at 2-4; Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 3-6). Here, for both violations of the Shipping Act, that reparations amount is the difference between the zero (\$0) dollars paid by the port users who enjoyed the preferential treatment, and the Access Fees charged to and paid by Complainant 81<sup>st</sup> Dolphin during the reparations period.

Because the reparations period for Respondent's first violation of the Shipping Act (where, under the Tariff, certain limousines were not required to pay Access Fees) is established to be June 16, 2011 through June 30, 2014, the minimum reparations owed to Complainant amounts to \$17,008.00—the amount paid by 81<sup>st</sup> Dolphin in Access Fees during that time period. (CPFF-R 3, 10) (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F); Comp. App. 004 at 000109–113, 000123–159; Comp. App. 005 at 000168–169; Comp. App. 006; Comp. App. 007 Comp. App. 008 at 000177–179; IDRFF 50 (Comp. App. 012 at 000219); OADR at 13-14, 22-27). Should the ALJ determine that Respondent Wharves Board, in spite of Respondent's own admission, did not engage in any selective enforcement of the Tariff through July 2014 and into an undetermined date of August 2014, then the reparations due to 81<sup>st</sup> Dolphin would be \$17,008.00. (Comp. App. 004 at 000109–113, 000123–159; Comp. App. 005 at 000168–169; Comp. App. 006; Comp. App. 007, Comp. App. 008 at 000177–179).

However, based on the evidence submitted, including Respondent's own sworn statements and briefing, establish that it continued its long-standing pattern of selective enforcement through July 2014 and into August of that year. (CPFF-R 1, 17, 20, 21) (Comp. App. 001 at 000001-002; Comp. App. 2 at 000007-008; Comp. App. 003 at 000016–019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Comp. App. 004 at 000109-160, 000123-271; Comp. App. 005; Comp. App. 006; Comp. App. 007; Comp. App. 008; Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13-14; OADR at 13-14, 32-34). Accordingly, the full account of reparations due includes the \$768.00 in Access Fees paid by 81<sup>st</sup> Dolphin and collected by Respondent in July 2014. (CPFF-R 4) (Comp. App. 004 at 000111, 000113, and 000160). This brings the reparations due to Complainant 81<sup>st</sup> Dolphin to a total of \$17,776.00.

**(1) Pro-rating Reparations Period for June 2011**

Regarding the issue of pro-rating reparations associated with the Access Fees paid by 81<sup>st</sup> Dolphin for access to the Cruise Terminal in June 2011, the ALJ is aware that such Access Fees were allocated based on the number of parking spaces maintained in 81<sup>st</sup> Dolphin's cruise parking lot(s). (CPFF-R 11) (Comp. App. 001 at 000001-002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F, n. D); OADR at 4-7) (citing IDRFF 44, 50-52, 65)). For June 2011 Access Fees, 81<sup>st</sup> Dolphin was invoiced and paid an amount equal to \$8 per parking space, which at that time totaled \$400.00 for the month of June 2011. (CPFF-R 2, 11, 18) (Comp. App. 001 at 000001-002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F) at 3-F, n. D); Comp. App. 004 at 000109-153; Comp. App. 005; Comp. App. 006; Comp. App. 007). As identified by the Commission, the reparations period begins on June 16, 2011—encompassing exactly half of that month. (OADR at 39). Accordingly, should the ALJ determine to pro-rate reparations for the month of June 2011,

the pro-rated amount would be half of the \$400.00 total paid by 81<sup>st</sup> Dolphin; thereby reducing the reparations due to 81<sup>st</sup> Dolphin by \$200.00, leaving \$17,576.00 as the total due.

**(2) The Parties agree that Decal Fees have no effect on reparations due**

As evidenced by Respondent's July 30, 2021 brief on this topic, the parties are in agreement that decal fees impart no effect on the reparations owed to Complainant. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 8).

The Tariff in effect from June 16, 2011 (the commencement of the reparations period) through June 30, 2014 required Complainants and limousines accessing the Cruise Terminal to purchase annual decals for each vehicle accessing the Cruise Terminal at a cost of \$10.00 per vehicle per year. (CPFF-R 8) (Comp. App. 001 at 000001-002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5<sup>th</sup> Revised Page 3-F and 3-G); IDRFF 50). Effective July 1, 2014, and through the July 31, 2014 conclusion of the reparations period, the Tariff established a variable cost for the annual decal fees as set forth in part below:

Type of Vehicle and Vehicle  
Seating Capacity:

Decal and Access Charge:

Commercial Passenger Vehicle, Courtesy  
Vehicle, Shuttle or Limousines with  
Seating Capacity of fifteen (15) persons or more

\$25.00 per decal per vehicle annually and  
\$22.86 per Access / Trip

Commercial Passenger Vehicle, Courtesy  
Vehicle, Shuttle or Limousine with  
Seating Capacity of less than fifteen  
(15) persons

\$15.00 per decal per vehicle annually and  
\$11.43 per Access / Trip

(IDRFF 65-66; Comp. App. 002 at 000007–008).

Throughout all times relevant to the reparations period, Complainant paid to Respondent decal fees as required by the Tariff for each of Complainant's vehicles that accessed the Cruise Terminal. (CPFF-R 23, 24, 25) (Comp. App. 001 at 000001–002; Comp. App. 002 at 000007;

IDRFF 50, 65-66; Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 8). No allegation has been raised in this case suggesting that other Cruise Terminal users that accessed the Cruise Terminal failed to purchase annual decal fees for each vehicle that accessed the Cruise Terminal. As all Cruise Terminal users paid for decal fees as required by the Tariff, no additional reparations are known to be due to Complainant as a result of decal fees.

### **CONCLUSION**

For the foregoing reasons, the reparations due 81<sup>st</sup> Dolphin total \$17,776.00. Should the ALJ determine to pro-rate reparations arising from June 2011, such pro-rated amount would reduce the reparations due to 81<sup>st</sup> Dolphin by \$200.00, leaving \$17,576.00 as the total reparations due to 81<sup>st</sup> Dolphin.

Respectfully submitted,

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**CERTIFICATE OF SERVICE**

I hereby certify that I electronically filed this document on this **30th day of September, 2022**, and that a true and correct copy of the foregoing was served on all counsel of record **via** certified mail – return receipt requested and/or email, as indicated below:

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